

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$109.72 ▼ 2.04%	12M Price Target \$135.00	52-Week Range \$63.52 – \$153.56	Market Cap \$98.65B
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HOOD: Profit-Taking After Run, Crypto Policy Still Tailwind

WHAT HAPPENED

- HOOD pulled back 2% on light volume (14.8M vs 20M+ earlier in the week) — this looks like garden-variety profit-taking after a 3-day run, not a thesis-breaker. No news, no filings, just a tired tape.
- Options flow is screaming bullish though — put/call of 0.51 and unusual call buying at \$108-110 strikes expiring this month means somebody's betting the dip gets bought quickly.

WHY IT MATTERS

Here's what I think is really going on: HOOD has been one of the biggest beneficiaries of the Trump administration's crypto-friendly posture (the CLARITY Act framework, SAB 121 repeal, pro-prediction-market stance from the CFTC), and the stock has roughly doubled off its 52-week low. A 2% down day on no news after that kind of run is healthy — it shakes out weak hands. The unusual call buying at near-the-money strikes tells me institutional money is positioning for a bounce before October OpEx. Bigger picture: as long as the regulatory environment stays permissive and the Fed keeps cutting (more cuts = more retail risk-taking = more trading volume = more HOOD revenue), dips are buyable.

POLICY & POLITICAL WATCH

The big one to watch: the CLARITY Act and FIT21 follow-on legislation that would formally hand crypto spot market oversight to the CFTC instead of the SEC — if that gets through the Senate this quarter, HOOD's crypto business (now ~35% of revenue) gets a legitimacy boost and opens the door to more token listings. Separately, the CFTC is actively reviewing prediction market rules — HOOD's event contracts business (Kalshi partnership, sports/election markets) is a direct beneficiary if the agency formalizes the framework. Headwind to watch: any state-level AG pushback on prediction markets (several red states are challenging sports event contracts), which could fragment the market.

IS IT EXPENSIVE?

At ~\$110, HOOD trades around 23x forward revenue and roughly 60x forward earnings — meaning you're paying \$60 for every \$1 of profit next year. That's expensive versus Schwab (~18x earnings) but cheap versus Coinbase (~80x) — and HOOD's growth rate (revenue up ~40% YoY) justifies a premium if you believe the crypto + prediction markets + international expansion story. The stock sits at 51% of its 52-week range, which is actually reasonable — not frothy, not a bargain.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$109.72
12M Price Target	\$135.00
Upside / (Downside)	+23.0%
Market Cap	\$98.65B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	59.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$125.00	\$115.00	\$98.00
6 Months	\$150.00	\$125.00	\$85.00
1 Year	\$175.00	\$135.00	\$75.00
2 Years	\$220.00	\$160.00	\$70.00
5 Years	\$350.00	\$220.00	\$60.00
10 Years	\$600.00	\$320.00	\$50.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+1.4%) catching a defensive bid, Utilities quietly up 4.6% on the week as rate-cut expectations firm up. Defensive rotation is subtle but real.

COOLING OFF: Tech (-0.35%) and Consumer Discretionary (-0.20%) taking a breather after leading — this is where HOOD's weakness fits in, it's a high-beta tech-adjacent name.

ROTATION WATCH: Money is nibbling on rate-sensitive defensives, which usually signals investors are getting slightly cautious short-term. Not a full risk-off — more like trimming winners.

RELATED PLAY: If HOOD's crypto thesis keeps working, the picks-and-shovels winners are COIN (direct competitor benefiting from same tailwind), CME (prediction/derivatives infrastructure), and MSTR (Bitcoin proxy that moves on the same regulatory news).

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): riding the same crypto regulatory tailwind, direct comp
- SCHW (Charles Schwab): benefiting from rate-cut-driven trading volume pickup, less volatile way to play retail trading

HOOD CONTEXT: HOOD has outperformed both over the past 6 months — it's been the leader in the retail-brokerage space, not the laggard. A 2% pullback after that leadership is normal consolidation, not a signal to bail.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but the stock has already run hard, so I'm not pounding the table at \$110. I'd be a 9/10 at \$95.

POSITION SIZE: 2-4% of portfolio — the upside is real but this thing can move 10% in a day, so size for the volatility

ENTRY POINTS: Add on pullbacks to \$95-105. If it breaks \$90, that's a gift unless the macro story has changed.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is CLARITY Act passage and the first full year of prediction markets at scale

WHEN TO BAIL: If crypto volumes drop 40%+ for two consecutive quarters, if the SEC reopens PFOF enforcement, or if Vlad Tenev leaves — any of those and I'm out

HEDGING: Simplest hedge is just keeping position size small. If you want to get fancy, pair a HOOD long with a smaller COIN short — that way you're betting HOOD executes better than Coinbase, not just betting on crypto going up